

Category Insight Memo: Audio & Video Recordings and Game Software (Canada)

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Prepared for: Category Management & Retail Strategy Teams

Style: NielsenIQ Category Review

Executive Summary

Canada's combined Audio & Video Recordings and Game Software category remains a high-growth, digitally led entertainment segment. This growth is driven by both game software and recorded music. Total category value is estimated at CAD\$6.2 billion in 2025, projected to approach CAD\$6.9 - 7.1 billion in 2026. See attached Table 1 for more details.

Key takeaway: Game software is the primary growth engine (mid-single to high-single digit CAGR), while audio recordings show resilient but slower growth anchored in streaming subscriptions and vinyl's niche revival.

Data Limitation: This memo relies exclusively on public government and industry-association data (Statistics Canada, Music Canada/IFPI, IMARC, The Business Research Company). These sources provide industry-level, backward-looking aggregates (6 - 18 months lag) and do not capture retailer-specific, SKU-level, or weekly point-of-sale trends that a paid syndicated panel (e.g., NielsenIQ, Circana/NPD) would show. See explicit breakdown on where public government data differ in Table 2. For tactical decisions on assortment, pricing, and promotions, triangulation with retail panel data is required.

Appendix

Table 1: Market Size & Growth Trajectory

Subcategory	2025 Estimate (CAD)	2026 Outlook	Growth Driver
Game Software	\$5.25B	\$5.7 - 5.9B (7 - 8% YoY)	Console refresh, GTA VI, mobile & subscription growth
Audio Recordings	\$0.96B	\$1.02 - 1.05B (5 - 6% YoY)	Streaming (+25% segment growth), vinyl rebound
Video Recordings (physical/digital sell-through)	\$0.05 - 0.1B (declining)	Flat to slight decline	Shift to SVOD/rental; physical DVD/Blu-ray erosion
Combined Category	\$6.2B	\$6.9 - 7.1B	7 - 8% YoY

Reference: musiccanada.com. Notes: Video recordings (DVD/Blu-ray/4K sell-through) are a small, contracting component; most video consumption now occurs via subscription/rental platforms not captured in "recordings" retail sales.

Table 2: Public Government Data vs. Paid Syndicated Panels (Canada A/V & Game Software)

Dimension	Public Government Data	Paid Syndicated Panels (e.g., NielsenIQ)
Coverage Scope	Industry-wide (all registered firms, tax filings, trade data); national/provincial aggregates; no SKU detail.	Panel-only retailers (participating brick-and-mortar and selected e-commerce); SKU/title-level POS by retailer, region, store cluster.
Timeline & Frequency	6 - 18 months lag (e.g., 2023 data published in 2025); annual/biennial updates.	Weekly/monthly dashboards; typically 1 - 4 weeks behind current date.
Methodology & Measurement Focus	Shipments, producer/distributor revenue, or wholesale value (NAICS definitions); aggregate revenue or average unit value; no promo flags.	Consumer sell-through at checkout; exact retail price, discount depth, feature/display status, promo lift, price-pack architecture.
Digital & Subscription Coverage	Captured indirectly via industry revenue reports (e.g., IFPI/Music Canada aggregates); no platform/title breakdown.	Partial: physical and digital download codes well-covered; streaming revenue, microtransactions, and DLC often excluded or estimated.
Use Cases & Decision-Making	Market sizing, policy, long-term strategy, investor/regulatory reporting.	Assortment optimization, promo planning, pricing, competitive benchmarking at shelf; tactical weekly execution.

Bottom line: Government data = macro, authoritative, slow, industry-wide; syndicated panels = micro, actionable, fast, retail-specific. For complete category management, triangulate both.